positive for Covid.

It is a challenge for policyholders to decide between having adequate insurance and paying a higher than planned premium for it. There is no easy way out for them, especially when insurers are unlikely to reduce premiums later when business improves. In case of long-term plans that run into 15-20 or more years, the impact of rising premiums puts everyone in a tight spot. There is little to choose and one should focus on maintaining the cover and not compromising on it, unless it becomes impossible to pay the premiums. This situation also gives policyholders an opportunity to review their insurance cover.

If policyholders are part of group insurance, they should surely continue the cover as the premiums on such policies won't be drastically affected like individual plans. Moreover, chances are that your employer-provided insurance cover would be part of your employee benefit programme and won't directly impact your finances. So, if at all you plan to let go of a policy, evaluate between your company-provided insurance and your personal insurance. Employer-provided insurance does face risks, especially if your job is at risk, and individuals would know better where they stand in their organisation and where the organisation itself stands.

In case of life plans, one should weigh in favour of retaining pure risk term insurance plans as they are always cost-effective compared to plans with a savings or investment component. So, if you have four policies with three being savings- and investment-oriented and one being pure risk cover, retain the last at any cost. You can evaluate the financial outcome of giving up on savings- and investment-linked insurance. It may also be a good idea to check your future financial commitments such as children's education or repaying a home loan towards which you have taken insurance. The priority of the financial goal should weigh your decision of holding on to a policy or giving it up.

When it comes to health insurance, the choice of giving up the cover can leave you extremely vulnerable. Maintain a standard health insurance cover that doesn't include very specific health conditions. You could also evaluate the top-up options one tends to avail with health insurance and see how much financial risk you can take before making any change.

You could also consider reducing your health insurance cover if your insurer allows you to step down on the coverage for a few years. There is no clear ruling on insurers providing such step-downs, but they have been found to consider such requests. You have the option to use a higher deductible or the co-pay option (see *Deductible and Co-pay*) to reduce premiums.

The proposed rise in premiums, especially in health insurance, is unfair on policyholders who have made no claims or experienced any health issues. Typically, premiums are increased for those who raise a claim, but that rationale is not being applied when raising premiums across the board. With the business built on the loss-aversion psychology of individuals, there isn't much that policyholders can do except vent their ire, even as they adapt to this untimely increase in premiums. ■

–Narayan Krishnamurthy

DEDUCTIBLE AND CO-PAY

Deductible is like self-insurance to a limit, and only when your claim exceeds that limit does the insurer pay for the claim. For instance, in case of a health insurance policy, with ₹1 lakh deductible and ₹1.2 lakh as the claim, the insurer pays ₹20,000 claim, with the rest absolved by the policyholder. In such cases, if the claim is under ₹1 lakh, the insurer has nothing to pay for. By opting for such self-insurance, the policyholder gets a significant discount on the premium. This strategy is good to adopt if you have the financial power to manage the self-insurance to the required threshold.

Co-pay in health insurance is a fixed sum that the policyholder has to pay for a covered medical service and the insurer takes care of the rest of the amount. The co-pay amount depends on the nature of the treatment and, unlike the deductible, is mostly a percentage of the claim. For instance, in case of a co-pay clause of 10 per cent for a claim of ₹1.2 lakh, the policyholder pays ₹12,000 and the balance ₹1.08 lakh is paid by the insurer. Think of co-pay as a technique to discourage policyholders from raising frivolous claims.